



VOLUNTARY ARTIFICIAL INTELLIGENCE (AI) CODE OF ETHICS

AI MALAYSIA

NATIONAL AI OFFICE

PUBLISHED BY:

AI MALAYSIA

NATIONAL AI OFFICE

Level 30, MOF INC. Tower,
No. 9, Persiaran KLCC,
50088, Wilayah Persekutuan Kuala Lumpur

Tel : +603-2181 8090

Email : contactus@ai.gov.my

Website : <https://www.ai.gov.my>

Instagram : <https://www.instagram.com/naiomalaysia>

Linkedin : [linkedin.com/company/national-ai-office-malaysia](https://www.linkedin.com/company/national-ai-office-malaysia)

© AI MALAYSIA BERHAD [202601028115 (1690210-V)]

AI Malaysia Berhad is the central national agency under the Digital Ministry, mandated to lead, coordinate, and accelerate the nation's artificial intelligence (AI) ecosystem towards realising the AI Nation 2030 vision. Operating as the primary catalyst for innovation and national competitiveness, AI Malaysia champions two flagship mandates: executing the National AI Action Plan 2026-2030 to drive cross-sectoral economic growth and productivity, and establishing the Malaysia AI Safety Institute to protect the public through rigorous risk assessments, governance, and technical assurance.

Disclaimer: This document does not constitute legal advice, and does not create any legal obligations or supersede existing laws, regulations, or policies. It should not be construed as an enforceable official policy instrument. Organisations and individuals are encouraged to exercise their own judgment and seek independent professional or legal advice as necessary. While reasonable efforts have been made to ensure the accuracy and relevance of the content, the authors and contributors do not assume any responsibility or liability for any loss, damage, or consequences arising from the use of this document. Portions of this document were prepared with the help of generative artificial intelligence (Gen-AI) tools, which have been reviewed and validated by experts in the field to ensure accuracy and contextual suitability.

Table of Content

Introduction	02
AI Code of Ethics Key Pillars	03
Pillar 1: Awareness of Principles	04
Pillar 2: AI Risk Management	06
Pillar 3: Accountability	10
Pillar 4: Redress Processes	15
Conclusion	17
Supporting Governance Resources	18
Glossary	19



Malaysia recognizes that while AI principles lay the foundation of an AI governance framework, there is a critical need to translate these principles into actionable practices for deployers, and developers across the AI ecosystem.

The AI Code of Ethics (AICE) is a voluntary and non-binding guidance instrument that is designed to support organisations in applying ethical AI principles in practice. It is intended to complement existing legal and regulatory frameworks, while encouraging responsible AI development and use across diverse contexts.

AICE is designed to serve as the operational bridge between ethical principles and on-the-ground implementation. It translates the Seven (7) AI Principles outlined in the National Guidelines on AI Governance and Ethics (AIGE)¹ into actionable measures:

1. Fairness
2. Reliability, Safety and Control
3. Privacy and Security
4. Inclusiveness
5. Transparency
6. Accountability
7. Pursuit of human benefit and happiness

Ultimately, the AICE ensures these principles are embedded throughout the entire lifecycle of an AI system.

¹The National Guidelines On AI Governance & Ethics, MOSTI, 2024
<https://mastic.mosti.gov.my/publication/the-national-guidelines-on-ai-governance-ethics/>

AI Code of Ethics

Key Pillars

Recognising the diversity among organisations in terms of structure, scale, and resource capacity, the AICE is designed to be adaptable and scalable, enabling organisations to apply its guiding pillars, where appropriate, in developing their own internal policy documents aligned with the AICE's overarching objectives.

The four Pillars reflect international best practices and were selected to ensure a balanced framework that emphasises ethical governance, risk management, accountability, and redress.

01

Awareness of Principles

Serves as a foundational starting point for all stakeholders by ensuring ethical literacy and understanding of the core ethical principles. It focuses on creating a shared knowledge base so that everyone involved in the AI lifecycle is aligned on the values driving the technology.

02

AI Risk Management

Promotes the proactive identification, assessment, and management of AI-related risks through structured and proportionate risk management practices. By adopting continuous and context-based approaches to risk assessment and mitigation, organisations can support safe and reliable AI deployment.

03

Accountability

Encourages clearly defined responsibilities and protocols to support clear ownership and effective management throughout the lifecycle of AI systems.

04

Redress Processes

Provides for transparent and accessible pathways to report grievances and seek fair resolution, ensuring that if an AI system causes harm, there is an effective mechanism in place for individuals to find corrective action.

Pillar 1: Awareness of Principles

Pillar 1 emphasises the importance of cultivating awareness and understanding of Seven (7) AI Principles and any other relevant sectoral or emerging principles or otherwise, across all levels of an organisation.

Awareness ensures that decision-makers and practitioners are conscious of the ethical, legal, and societal implications of AI Systems.

1.1 Collective Awareness

Organisations are encouraged to cultivate an understanding of the ethical foundations guiding AI by ensuring that awareness of the Seven (7) AI Principles is actively embedded into leadership priorities, management practices, and day-to-day operations through the following steps

Recognising that Organisations may differ in their size, structure, sector, governance arrangements, and intended use of AI Systems, approaches adopted to foster awareness and promote responsible AI practices may vary according to their respective contexts and needs through the following steps:

a. Foster an Ethically Informed Culture

- Leadership should promote continuous learning and dialogue on the Seven (7) AI Principles to support a shared understanding of responsible AI practices and encourage their consistent consideration in AI-related activities across the Organisation.

b. Embed Awareness into Organisational Practice

- Management should integrate ethical considerations into project reviews, onboarding, and team discussions involving AI projects. Awareness initiatives can, where appropriate, be contextualised to the functions, responsibilities, and roles performed by individuals and teams throughout the AI lifecycle, so that relevant ethical considerations are understood and applied in practice.

c. Enable Open and Transparent Communication

- Leadership and management should facilitate open conversations regarding the opportunities, implementation challenges, risks, and limitations associated with AI Systems. Organisations intending to develop or deploy AI Systems can establish and maintain appropriate internal policies, guidance materials, or communication mechanisms to promote a common understanding of responsible AI practices.
- Such methods may include, where appropriate, communicating organisational expectations regarding the responsible use of AI, providing opportunities for employees to raise concerns or seek clarification, sharing teachings from AI initiatives, and encouraging discussions on emerging AI-related developments.

d. Model Ethical Leadership

- Awareness of Seven (7) AI Principles should be exemplified by governance and resource allocation set out by the leadership, showing that ethical awareness is not optional but integral to organisational integrity and trust. Organisations should consider declaring their commitment to the Seven (7) AI Principles by declarations or statements.



Pillar 2: AI Risk Management

Pillar 2 establishes a structured and proportionate approach to identifying, assessing, and managing risks throughout the AI lifecycle. This pillar aims to support organisations in anticipating and mitigating potential harms and unintended consequences, while promoting the safe, responsible, and trustworthy use of AI Systems in alignment with ethical, legal, and societal considerations.

2.1 Risk-Based and Contextual Approach

Organisations are encouraged to adopt a risk-based and context-sensitive approach to AI governance, whereby risk management measures are proportionate to the organization's resources, AI maturity, and the system's potential impact and scale.

AI risk should be recognised as dynamic and context-dependent, and may evolve over time due to changes in system design, deployment environment, or intended use. Prior to deployment, Organisations may consider conducting a self-assessment to determine the level and nature of risk presented by the AI Use Case and implement proportionate measures to mitigate identified risks

2.2 AI Risk Assessment Guidance

A structured risk assessment process can support organisations in identifying, analysing, and evaluating risks associated with AI Systems. Risk assessment can be conducted throughout the AI lifecycle and should consider relevant technical, operational, legal, ethical, and societal dimensions.

When conducting risk assessments on AI use cases, the following non-exhaustive guideline can be considered and applied flexibly based on context:

- intended purpose, use context, and deployment environment
- level of autonomy and appropriate human oversight
- potential impacts on individuals, groups, and society
- validity, reliability, robustness, and safety of system performance
- fairness, bias, and risks of unintended or harmful outcomes
- security, resilience, and adversarial risks
- data quality, provenance, and governance considerations
- transparency, explainability, and accountability considerations
- severity, reversibility, and scale of potential harms

2.3 Risk Evaluation and Proportionate Mitigation

Organisations can determine appropriate risk treatment measures based on the risks identified through their risk assessment process. Such measures should be proportionate to the nature and severity of the identified risks and may include, where appropriate:

Risk Scenario	Proportionate Mitigation Measures
The AI System operates with limited human involvement in decision-making	Human review mechanisms, escalation pathways, intervention controls
The AI System may generate inaccurate, inconsistent, or unreliable output	Testing, validation, performance evaluation, output verification
The AI System may influence decisions affecting individuals or groups	Additional oversight, transparency measures, review processes
The AI System relies on sensitive, incomplete, or potentially unrepresentative data	Data governance controls, monitoring, data quality review

Risk Scenario	Proportionate Mitigation Measures
The AI System may be vulnerable to misuse, manipulation, or adversarial attacks	Access restrictions, cybersecurity safeguards, resilience testing
The AI System may behave differently when deployed in changing operational environments	Continuous monitoring, retraining, periodic reassessment
The AI System may be used outside its intended purpose or deployment conditions	Usage restrictions, deployment safeguards, operational controls
The AI System may produce outputs that are difficult to interpret or explain	User disclosures, documentation, explainability measures

Organisations may want to apply internal methodologies to prioritise or structure risks, provided that such approaches remain consistent with the principle of proportionality and contextual relevance.

2.4 Continuous Monitoring, Testing, and Reassessment

AI Risk Management is a continuous, iterative process that spans the entire system lifecycle. Organisations can consider establishing ongoing monitoring, testing, and validation protocols to ensure AI systems consistently align with their intended purpose, established risk profile, and relevant AIGE principles.

- There is a material change in system functionality or deployment context;
- New risks, vulnerabilities, or unintended consequences are identified;
- System performance or behaviour changes over time;
- The intended purpose or use of the system evolves.

Findings from monitoring activities should inform ongoing improvements to risk assessment and mitigation practices.



Pillar 3:

Accountability

Pillar 3 promotes accountability through clear responsibilities and procedures for documenting AI-related incidents. Organisations can define and assign specific roles to ensure effective oversight and timely responses to such incidents.

3.1 General Responsibilities of AI Actors

Responsibility for the trustworthy design, development, and use of AI Systems may involve multiple parties across the AI lifecycle, including Organisations, vendors, partners, and service providers.

The responsibilities of these relevant AI Actors may vary depending on their role, level of involvement, and degree of control over the design, development, deployment, operation, monitoring, or retirement of an AI System.

Where different functions or activities are performed by different parties, Organisations are encouraged to appropriately ensure that roles, responsibilities, and relevant oversight arrangements are coordinated in relation to the functions under their control.

3.2 Organisational Governance Structures

Organisations, where appropriate, maintain clear, transparent governance to ensure accountability throughout the AI lifecycle. This involves aligning responsibilities, decision-making authority, and oversight functions with the correct individuals, teams, or functions.

Furthermore, robust documentation, review, and record-keeping processes must be used to ensure the traceability and governance of all development, deployment, and operational decisions.

Organisations could also extend this oversight to third-party AI systems, service providers, and externally sourced components. When applicable, recognized international standards and frameworks should be adopted to reinforce security, reliability, and risk management practices.

3.3 Responsible AI Practices Across the AI Lifecycle

The table below outlines the key responsibilities of Organisations at the six stages (6) of the AI lifecycle:

Organisational Responsibilities

1. Design & Development

- Organisations are encouraged to ensure that every AI Use Case is designed and developed with a clearly defined purpose, intended scope, and context of use.
- This may include performing a risk assessment aligned with the organization's technical capability, applicable laws and may reference AI standards to ensure alignment with an Organisation's ethical commitments,

2. Data Sourcing & Preparation

- Organisations are encouraged to consider whether data used in AI Systems is relevant, representative where appropriate, and suitable for its intended use.
- Organisations may maintain appropriate documentation relating to data provenance and relevant data management decisions to support traceability, taking into account their role and level of control over the data.

Organisational Responsibilities

3. Evaluation & Validation

- Organisations may consider reviewing, evaluating, and validating AI Systems used or deployed by the Organisation in relation to their intended purpose and deployment context.
- This includes taking reasonable measures to support the reliability, robustness, and intended performance of the AI System, using testing, evaluation, or assurance approaches appropriate to the nature and use of the system.
- Where appropriate, providing clear and accessible information regarding the role of the AI System in supporting or informing outputs, decisions, or actions, taking into account the Organisation's level of control over the AI System.

Organisational Responsibilities

4. Deployment & Integration

- AI Systems may be deployed in a manner consistent with their intended purpose, approved use conditions, and operational context.
- Providing appropriate information to users and relevant stakeholders can support understanding of the AI System's functionality, intended use, and known limitations, where appropriate.
- Deployment practices can support appropriate oversight, transparency, and mechanisms for reporting operational issues or unintended outcomes.

Organisational Responsibilities

5. Operation & Monitoring

- An appropriate oversight of AI Systems throughout their operational lifecycle to support continued reliability, safety, and alignment with intended use is recommended.
- Appropriate monitoring and review can be undertaken to address changes in system behaviour & performance, operational context, or deployment conditions.

6. Decommissioning & Retirement

- Retiring or decommissioning AI Systems can be considered where they are no longer fit for purpose, no longer aligned with their intended use, or have been replaced by updated systems.
- This may include discontinuing system use, restricting further deployment, archiving or deleting relevant data and system artefacts, and ensuring that retired AI Systems are not repurposed or reused in ways that are inconsistent with their original design, governance requirements, or intended context of use

Pillar 4:

Redress Processes

Pillar 4 focuses on creating clear processes for affected stakeholders to raise concerns and seek remedies when issues arise from the use of AI Systems.

4.1 Define Triggers and Thresholds for Redress

Redress mechanisms can be activated where AI outcomes result in, or are reasonably likely to result in, significant harm, adverse impacts, or other identified concerns through the Organisation's risk assessment processes.

Accordingly, organisations are encouraged to establish clear criteria and escalation thresholds for when issues should be reviewed, investigated, or subject to remediation.

4.2 Contest and Grievance Procedure

Mechanisms for individuals to raise concerns about AI-driven outcomes should be straightforward, accessible, and proportionate to the level of risk and potential impact.

These channels should be transparent, published, and easy to use but designed to prevent misuse or excessive burden on the organisation.

4.3 Assign Responsibility for Handling Redress

Responsibility for managing redress should be assigned to ensure independence, consistency, and record-keeping. Roles and timelines should be clearly stated, including procedures for internal escalation or referral to regulators where applicable.

4.4 Human Oversight

Maintaining sufficient internal documentation, traceability logs, and oversight checkpoints can support the investigation of AI Systems. It is recommended that reviewers are granted the authority to reverse, correct, or clarify outcomes where justified.

The form of human oversight may vary depending on an organisation's size, resources, and risk profile. For example, larger organisations may establish dedicated review functions, while smaller enterprises may allocate these responsibilities to existing personnel.

4.5 Documentation and Analysis

Organisations are encouraged to record redress cases and outcomes to identify risks and improve model design, oversight, and communication. Periodic analysis of redress trends should inform broader AI risk management and accountability reviews, ensuring that lessons inform updates to training data, governance controls, and user communication.



Conclusion

The Voluntary AI Code of Ethics focuses on the practical application of AI by providing organisations with clear guidance to identify, manage, and address ethical considerations throughout the entire lifecycle of AI systems. Anchored in four key pillars—Awareness, Risk Management, Accountability, and Redress—the Code supports responsible AI deployment by taking into account the level of risk, the context of use, and the organisation's level of maturity in adopting AI.

Key Takeaways:

- **Operational Readiness:** Organisations are encouraged to translate ethical values into "Operational Drivers", such as robust data governance, ensuring fairness, and maintaining meaningful human oversight.
- **Proactive Risk Mitigation:** A risk-based approach allows developers to classify AI use cases of different risk levels, ensuring that safety measures are proportionate to the potential impact on society.
- **Shared Responsibility:** Accountability is a collective duty. Organisations must define clear roles from the design phase to the eventual retirement of a system to maintain public trust.
- **Continuous Improvement:** Through established redress processes and the analysis of feedback, the AI ecosystem can evolve, correcting biases and improving model design over time.

The adoption of this voluntary Code of Ethics represents a commitment to fostering a digital ecosystem where innovation and human values coexist. By using these pillars as considerations of AI governance in individual organisations, stakeholders can contribute to a future where AI serves as a transparent, inclusive, and reliable tool for national progress.

Supporting Governance Resources

The following international standards and guidance resources may be referenced by Organisations when developing internal governance policies, operational frameworks, risk management practices, or accountability measures aligned with the principles and objectives of the AICE.

These resources are provided as non-exhaustive reference materials to support Organisations in operationalising responsible AI governance practices based on their respective organisational context, sector, and level of AI maturity.

- **ISO/IEC 42001:2023** – Artificial intelligence — Management systems
- **ISO/IEC 5338:2023** – Artificial intelligence — AI system life cycle processes
- **ISO/IEC 23894:2023** – Guidance on AI risk management
- **ISO/IEC 42005:2025** – AI system impact assessments
- **ISO/IEC 38507:2022** – Governance implications of the use of AI by organisations
- **ISO/IEC 22989:2022** – Artificial intelligence concepts and terminology
- **ITU AI Governance** and AI for Good guidance resources
- **IEEE 7000 Series** – Ethical considerations and transparency in autonomous and intelligent systems

Glossary

The definitions in this glossary are referenced from internationally recognised standards and frameworks. They are provided to support the interpretation and reading of this Voluntary AI Code of Ethics and apply solely within the context of this document.

AI System

An AI system is a machine-based system that, for explicit or implicit objectives, infers, from the input it receives, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments. Different AI systems vary in their levels of autonomy and adaptiveness after deployment.

AI Actor

AI Actors are those who play an active role in the AI system lifecycle, including organisations and individuals that develop or deploy AI systems.

The definitions in this glossary are referenced from internationally recognised standards and frameworks. They are provided to support the interpretation and reading of this Voluntary AI Code of Ethics and apply solely within the context of this document.

AI Lifecycle

An AI system lifecycle typically involves several phases that include to: plan and design; collect and process data; build model(s) and/or adapt existing model(s) to specific tasks; test, evaluate, verify and validate; make available for use/deploy; operate and monitor; and retire/decommission.

These phases often take place in an iterative manner and are not necessarily sequential. The decision to retire an AI system from operation may occur at any point during the operation and monitoring phase.

AI Use Case

A defined application or scenario in which an AI system is used to generate outputs for a specific human-defined objective within a particular operational context.

AI MALAYSIA

NATIONAL AI OFFICE

Instagram:

naiomalaysia

Facebook:

National AI Office Malaysia

LinkedIn:

National AI Office Malaysia (NAIO)

Website:

ai.gov.my

